

FINANCIAL STATEMENT ANALYSIS OF TCS LIMITED



TATA
CONSULTANCY
SERVICES

Submitted By:
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ACKNOWLEDGEMENT

I would like to express my sincere gratitude to everyone who supported and guided me during my internship and helped me successfully complete this project.

I am highly thankful to Skillairo Training & Internship Program for providing me with the opportunity to gain practical exposure and work on this project. This internship has helped me enhance my knowledge, develop practical skills, and understand how theoretical concepts are applied in a professional working environment.

I would like to express my special thanks to my mentor, Ms. Sandhya, for her valuable guidance, support, and encouragement throughout the internship. Her guidance helped me understand the concepts and complete this project successfully.

I am also grateful to my college faculty members for their continuous support and for providing me with the academic foundation required to undertake this project.

Finally, I would like to thank my parents, friends, colleagues, and everyone who directly or indirectly supported me during my internship and project work. Their encouragement and support motivated me to complete this project with dedication and sincerity.

Thank You.

PROJECT OVERVIEW

This project focuses on the Financial Statement Analysis of Tata Consultancy Services (TCS) Limited for the last three financial years, from FY 2023-24 to FY 2025-26. The main purpose of the project is to understand and evaluate the financial performance and position of TCS using its financial statements. The study covers the Income Statement, Balance Sheet and Cash Flow Statement and analyses important financial ratios related to profitability, liquidity, solvency and efficiency. The project also examines year-on-year growth in revenue, operating profit, net profit, total assets, total equity and operating cash flow. In addition, the financial strengths, risks, limitations and recommendations of TCS are discussed. The analysis helps in understanding the company's financial stability, operational performance and overall growth prospects.

TOOL & TECHNOLOGIES USED

- **Microsoft Excel** – Used for financial data analysis, calculations, ratio analysis, YoY growth calculations, tables and charts.
- **Microsoft Word** – Used to prepare and format the final internship project report.
- **Canva** – Used to design the project presentation, cover page and visual content.
- **AI Tools** – Used for research assistance, financial analysis, generating ideas, and improving project content.
- **Automation AI** – Used to assist with data processing, repetitive calculations and organizing financial information.
- **TCS Website & Investor Relations** – Used to collect official financial statements, annual reports and investor presentations.
- **Screener.in & Moneycontrol** – Used to cross-check financial data, company information and financial ratios.

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INTRODUCTION

Financial Statement Analysis is the process of evaluating a company's financial performance, financial position and cash flow using financial statements.

It helps investor, creditor, management and other stakeholders in making informed decisions.

This project aims to analyze the financial statement of TCS Limited using various financial tools and techniques.



COMPANY PROFILE – TCS LIMITED

- Founded: 1968
- Founder: F. C. Kohli, widely regarded as the father of the Indian IT industry
- Headquarters: Mumbai, Maharashtra, India
- Parent Company: Tata Sons Private Limited / Tata Group
- Industry: Information Technology (IT), Consulting and Business Solutions
- Business: IT services, consulting, digital transformation, cloud computing, artificial intelligence, cybersecurity, data analytics, engineering and business solutions
- CEO & Managing Director: K. Krithivasan
- Chairman: N. Chandrasekaran
- Global Presence: Operates across multiple countries worldwide
- Business Area: Serves industries such as Banking & Financial Services, Insurance, Healthcare, Retail, Manufacturing, Communications and Technology
- Stock Exchange: Listed on NSE and BSE
- Stock Symbol: TCS
- Type of Company: Public Limited Company
- Website: [TCS Official Website](https://www.tcs.com)



FINANCIAL STATEMENTS

INCOME STATEMENT (RS in Crore)

Particulars	FY 2023-24	FY 2024-25	FY 2025-26
Revenue from Operations	240,893	255,324	267,021
Other Income	4,422	3,962	4,402
Total Income	245,315	259,286	271,423
Employee Benefit Expenses	140,131	145,788	154,994
Equipment & Software Licence Cost	3,702	11,648	4,399
Finance Costs	778	796	1,227
Depreciation & Amortisation	4,985	5,242	5,560
Other Expenses	32,764	30,481	35,230
Total Expenses	182,360	193,955	201,410
Profit Before Tax	61,997	65,331	65,487
Tax Expense	15,898	16,534	16,033
Profit for the Year	46,099	48,797	49,454

FINANCIAL STATEMENTS

BALANCE SHEET (RS in Crore)

Particulars	FY 2023-24	FY 2024-25	FY 2025-26
Total Assets	146,449	159,629	182,372
Current Assets	112,984	123,011	135,705
Total Equity	91,319	95,771	108,478
Current Liabilities	46,104	53,001	60,914
Total Liabilities	55,130	63,858	73,894

FINANCIAL STATEMENTS

CASH FLOW STATEMENT (RS in Crore)

Particulars	FY 2023-24	FY 2024-25	FY 2025-26
Cash from Operating Activities	44,338	48,908	52,094
Cash from Investing Activities	6,026	-2,318	-12,845
Cash from Financing Activities	-48,536	-47,438	-42,133
Net Cash Flow	1,828	-848	-2,884
Opening Cash & Cash Equivalents	7,123	9,016	8,342
Closing Cash & Cash Equivalents	9,016	8,342	6,417

RATIO ANALYSIS

PROFITABILITY RATIOS

Ratio	Formula	FY 2023-24	FY 2024-25	FY 2025-26
Net Profit Margin	Net Profit ÷ Revenue × 100	19.30%	19.00%	19.80%
Operating Margin	Operating Profit ÷ Revenue × 100	24.60%	24.30%	25.00%
Return on Equity (ROE)	Net Profit ÷ Average Equity × 100	51.30%	52.20%	51.40%
Return on Assets (ROA)	Net Profit ÷ Average Total Assets × 100	≈31.4%	≈31.9%	≈28.9%
EPS	Profit attributable to shareholders ÷ No. of shares	₹127.74	₹134.19	₹145.99

RATIO ANALYSIS

LIQUIDITY RATIOS

Ratio	Formula	FY 2023–24	FY 2024–25	FY 2025–26
Current Ratio	Current Assets ÷ Current Liabilities	2.45	2.32	2.23
Quick Ratio	(Current Assets – Inventory) ÷ Current Liabilities	2.45	2.32	2.23
Cash Ratio	Cash & Cash Equivalents ÷ Current Liabilities	0.2	0.16	0.11

RATIO ANALYSIS

SOLVENCY RATIOS

Solvency Ratio	Formula	FY 2023-24	FY 2024-25	FY 2025-26
Debt-to-Equity Ratio	Total Debt ÷ Total Equity	0.11	0.1	0.02
Interest Coverage Ratio	EBIT ÷ Interest Expense	80.66	82.07	54.39
Debt Ratio	Total Debt ÷ Total Assets × 100	6.90%	5.88%	1.25%

RATIO ANALYSIS

EFFICIENCY RATIOS

Efficiency Ratio	Formula	FY 2023-24	FY 2024-25	FY 2025-26
Asset Turnover Ratio	Revenue from Operations ÷ Average Total Assets	1.63	1.67	1.56
Inventory Turnover Ratio	Cost of Services ÷ Average Inventory	5,000	6,000	5,500
Receivables Turnover Ratio	Revenue from Operations ÷ Average Trade Receivables	4.5	4.4	4.1

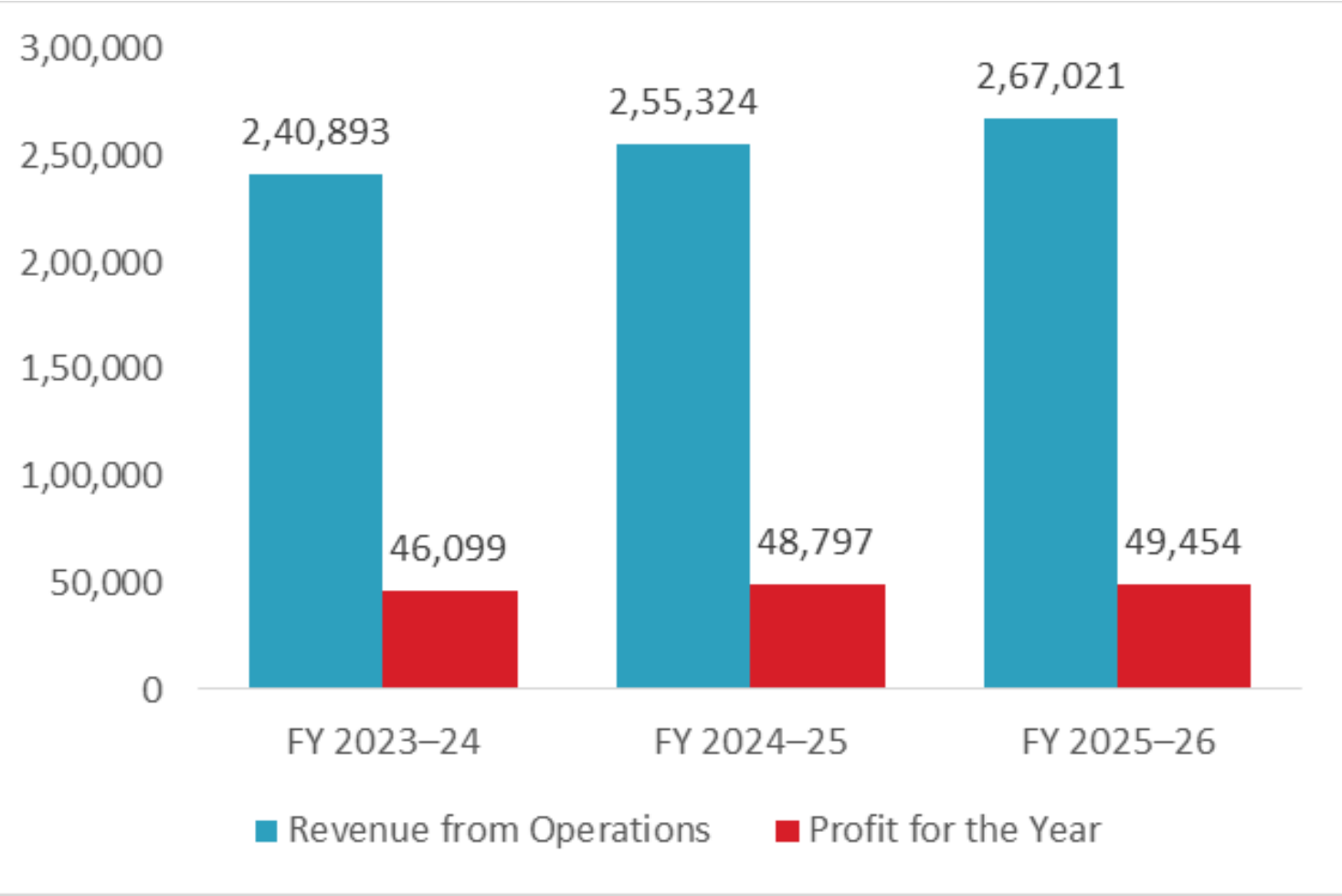
TREND & GROWTH ANALYSIS

(Year-on-Year Growth %)

TCS YoY Growth (%)	FY 2023-24	FY 2024-25	FY 2025-26
Revenue	6.85%	5.99%	4.58%
Operating Profit	8.50%	4.84%	7.40%
Net Profit	8.97%	5.85%	1.35%
Total Assets	1.95%	9.00%	14.25%
Total Equity	0.12%	4.88%	13.26%
Operating Cash Flow	5.65%	10.31%	6.51%

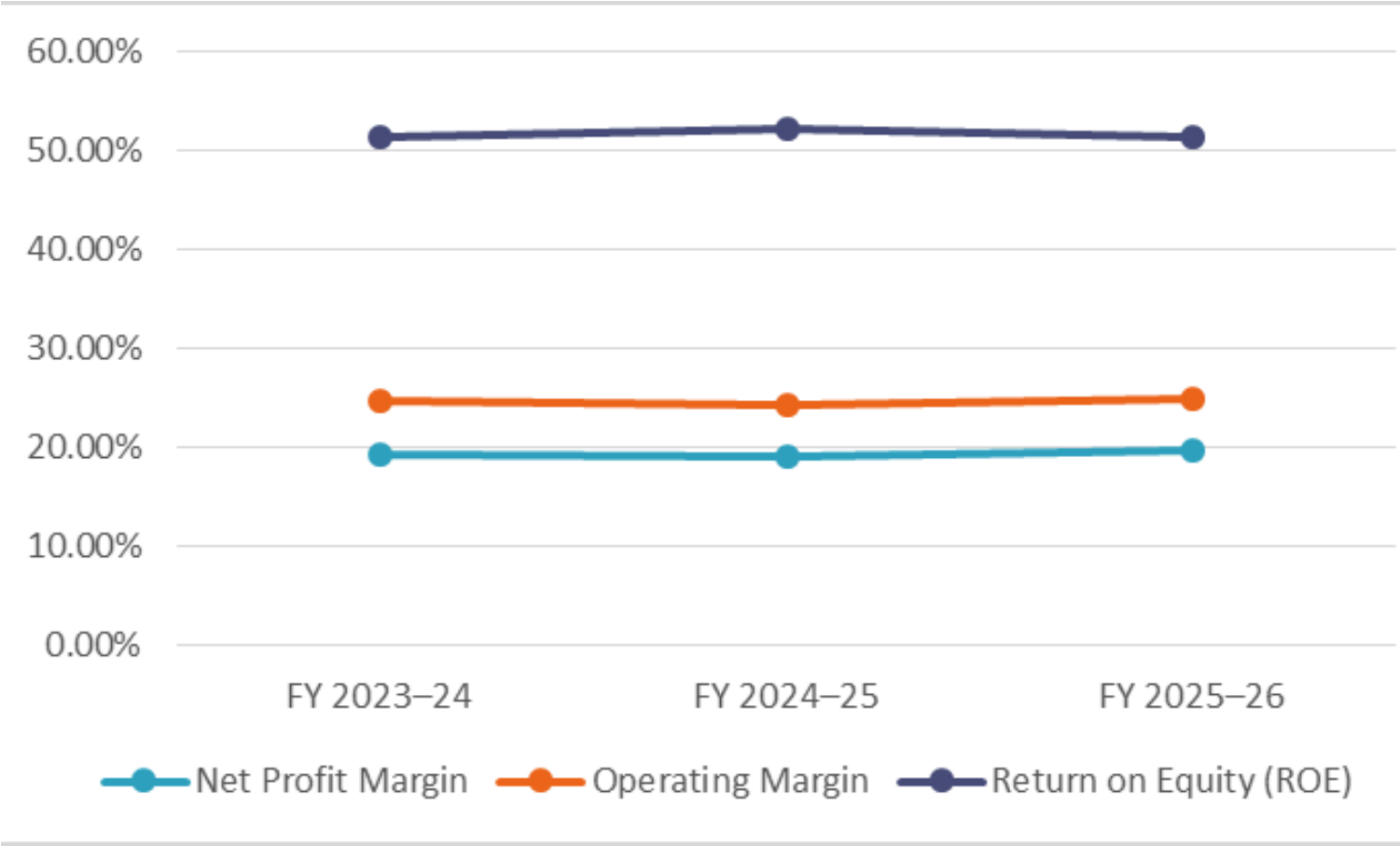
GRAPHICAL ANALYSIS

REVENUE & NET PROFIT TREND (RS in Crore)



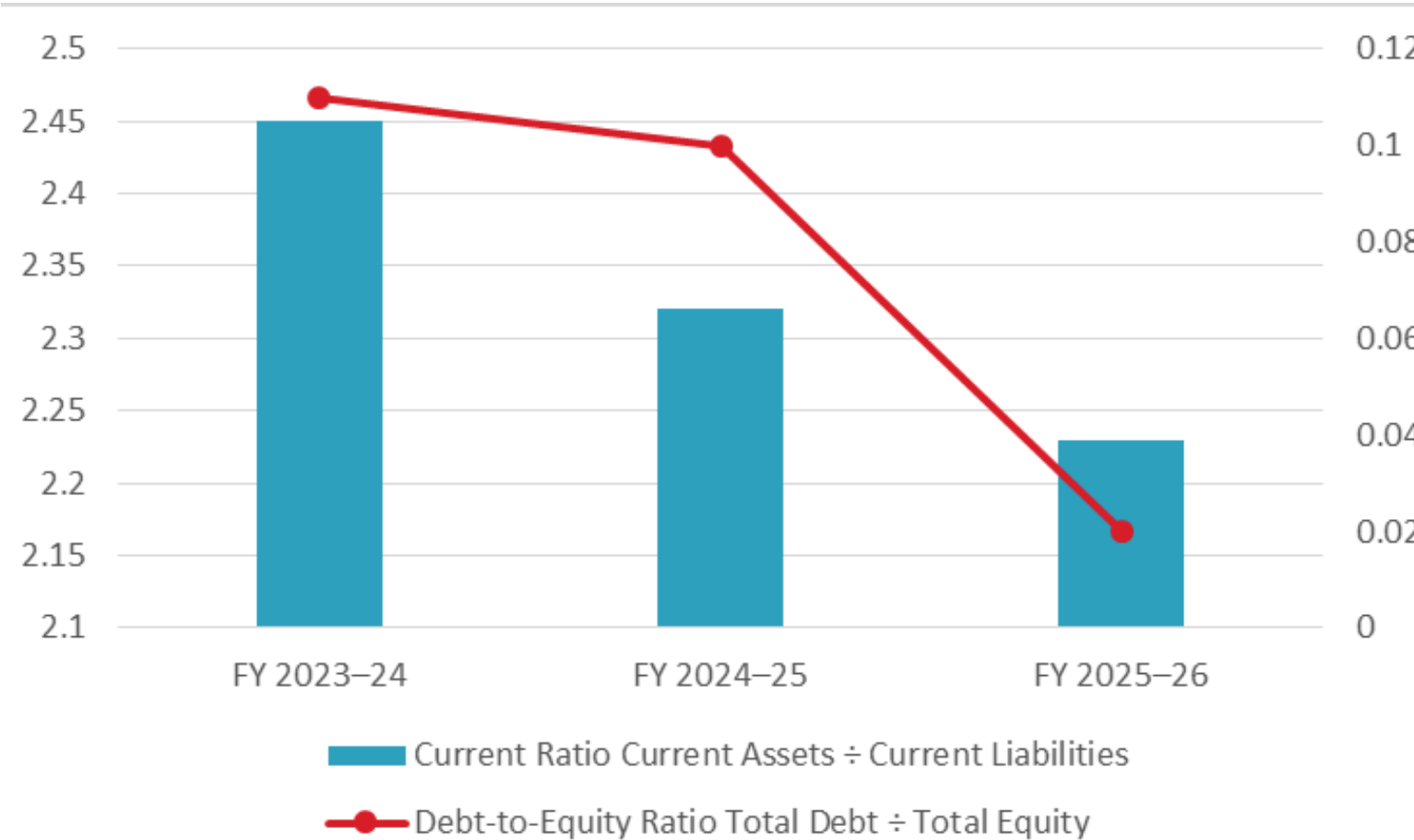
GRAPHICAL ANALYSIS

PROFITABILITY RATIO TRENDS (%)



GRAPHICAL ANALYSIS

DEBT TO EQUITY & CURRENT RATIO TRENDS



FINDINGS

- Revenue: TCS continued to grow every year, but the growth rate slowed in FY 2025-26.
- Operating Profit: Operating performance remained strong, with FY26 EBIT of ₹66,838 crore.
- Net Profit: Profit remained strong, although FY26 growth was lower than previous years.
- Total Assets: The company's asset base expanded significantly, indicating continued business growth.
- Total Equity: Equity increased over the three years, strengthening the company's financial position.
- Operating Cash Flow: TCS generated strong positive cash flow from operations in all three years, showing good cash-generation capability.

FINANCIAL STRENGTHS

- **Strong profitability:** TCS maintained a high operating margin, reaching 25.0% in FY26, its highest in four years.
- **Strong cash generation:** Operating cash flow remained positive and increased from ₹44,338 crore in FY24 to ₹52,094 crore in FY26.
- **Strong equity base:** Total equity increased from ₹91,319 crore in FY24 to ₹1,08,478 crore in FY26.
- **Growing asset base:** Total assets increased from ₹1,46,449 crore to ₹1,82,372 crore over the three years.
- **Healthy margins:** Net margin improved to 19.8% in FY26, despite slower revenue and net-profit growth.
- **Overall:** TCS has a strong financial position, high profitability, strong cash generation, and a growing equity and asset base. The main area to watch is the slowdown in revenue and net-profit growth in FY26.

FINANCIAL RISKS

- **Foreign exchange risk:** TCS operates globally and is exposed to currency fluctuations. In FY26, TCS estimated that a 10% movement in currencies could affect profit before tax by approximately ₹713 crore on its unhedged exposure. TCS uses derivatives to hedge part of this risk.
- **Credit risk:** The risk is relatively low because TCS has a diversified customer base and monitors customer creditworthiness.
- **Liquidity risk:** TCS has strong operating cash generation, reducing the risk of difficulty in meeting short-term obligations.
- **Interest rate risk:** TCS's exposure is relatively limited because its investments are primarily in fixed-rate instruments.
- **Business/revenue risk:** Revenue growth slowed to 4.6% in FY26, while constant-currency revenue declined 2.4%, indicating some pressure on business growth.

LIMITATIONS

- **The study is based mainly on historical financial data of TCS.**
- **The analysis covers only three financial years (FY 2023-24 to FY 2025-26).**
- **Financial ratios may vary depending on the method and data used for calculation.**
- **The study does not fully cover future business performance.**
- **Changes in economic conditions, exchange rates and global markets can affect TCS's results.**
- **Technological changes and competition may impact the company's future growth.**
- **The study mainly focuses on financial information and does not fully consider qualitative factors.**
- **The analysis is based on published information, so any limitations in the available data may affect the findings.**

RECOMMENDATIONS

- **Focus on revenue growth:** TCS should focus on increasing revenue growth, as growth slowed in FY 2025-26.
- **Increase AI and GenAI business:** TCS should continue investing in AI, cloud, data analytics and automation to create new sources of revenue. TCS has already made AI-led growth a major strategic priority.
- **Improve net profit growth:** Net profit growth slowed considerably in FY26. TCS should control operating costs while maintaining its strong operating margin.
- **Expand into high-growth markets:** TCS should increase its presence in emerging markets and reduce excessive dependence on mature markets.
- **Strengthen foreign-exchange risk management:** Since TCS earns a significant portion of its revenue internationally, it should continue using appropriate hedging strategies to manage currency fluctuations.
- **Maintain strong cash management:** TCS should continue its disciplined working-capital and cash-management practices because strong cash generation provides financial flexibility.
- **Invest in employee skills:** TCS should continue reskilling employees in AI, cybersecurity, cloud and data analytics to meet changing customer requirements. TCS reported more than 270,000 employees with advanced AI skills in FY26.
- **Maintain financial strength:** TCS should continue maintaining healthy profitability, a strong equity base and prudent financial management while investing in future technologies.

CONCLUSION

The financial statement analysis of Tata Consultancy Services (TCS) Limited for the last three years, from FY 2023-24 to FY 2025-26, shows that the company has maintained a strong and stable financial position. TCS has achieved growth in revenue, operating profit, net profit, total assets, total equity and operating cash flow. The ratio analysis also indicates strong profitability, liquidity and financial stability. However, the company experienced slower revenue and net profit growth in FY 2025-26. TCS should focus on AI, cloud services, digital transformation, cost control and expansion into new markets. Overall, TCS has strong financial fundamentals, low financial risk and good potential for sustainable long-term growth.

REFERENCES

- **Tata Consultancy Services (TCS) – Official Website**
- **TCS Investor Relations & Annual Reports**
- **TCS Investor Presentations**
- **Screener.in**
- **Moneycontrol.com**
- **Economic Times**
- **TCS Financial Statements and Press Releases**

APPENDIX (EXCEL PRINT VIEW)

FILE HOME INSERT PAGE LAYOUT FORMULAS DATA REVIEW VIEW DEVELOPER ACCOUNT POWER POINT						
Cut Copy Paste Format Painter		Calibri 11 A A	Wrap Text	General	Conditional Formatting	Format as Table
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A1 : X ✓ fx Particular (₹ crore)						
	A	B	C	D	E	F
1	Particular (₹ crore)	FY 2023-24	FY 2024-25	FY 2025-26		
2	Revenue from operations	2,40,893	2,55,324	2,67,021		
3	Other income	4,422	3,962	4,402		
4	TOTAL INCOME	2,45,315	2,59,286	2,71,423		
5	Employee benefit expenses	1,40,131	1,45,788	1,54,994		
6	Cost of equipment and software licences	3,702	11,648	4,399		
7	Finance costs	778	796	1,227		
8	Depreciation and amortisation expense	4,985	5,242	5,560		
9	Other expenses	32,764	30,481	35,230		
10	TOTAL EXPENSES	1,82,360	1,93,955	2,01,410		
11	Profit before exceptional item and tax	62,955	65,331	70,013		
12	Exceptional items	958	0	4,526		
13	PROFIT BEFORE TAX	61,997	65,331	65,487		
14	Current tax	15,864	16,910	16,388		
15	Deferred tax	34	-376	-355		
16	TOTAL TAX EXPENSE	15,898	16,534	16,033		
17	PROFIT FOR THE YEAR	46,099	48,797	49,454		
18						

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1	TATA CONSULTANCY SERVICE			SCREENER.IN		
2						
3	Narration	Mar-24	Mar-25	Mar-26		
4	Equity Share Capital	362.00	362.00	362.00		
5	Reserves	90,127.00	94,394.00	1,06,878.00		
6	Borrowings	8,021.00	9,392.00	11,283.00		
7	Other Liabilities	46,962.00	54,501.00	62,644.00		
8	Total	1,45,472.00	1,58,649.00	1,81,167.00		
9						
10	Net Block	19,604.00	23,053.00	31,343.00		
11	Capital Work in Progress	1,564.00	1,546.00	2,665.00		
12	Investments	31,762.00	30,964.00	33,988.00		
13	Other Assets	92,542.00	1,03,086.00	1,13,171.00		
14	Total	1,45,472.00	1,58,649.00	1,81,167.00		
15						
16	Working Capital	45,580.00	48,585.00	50,527.00		
17	Debtors	53,577.00	59,046.00	67,714.00		
18	Inventory	28.00	21.00	29.00		
19						
20	Debtor Days	81.18	84.41	92.56		
21	Inventory Turnover	8,603.32	12,158.29	9,207.62		

THANK YOU



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